FY2026 Subsequent Events · Draft Findings for the CPA

Findings for the CPA from audit procedures; not an audit report and no opinion.

Client	HANGS Construction Services LLC
Period	Fiscal year ended June 30, 2026; events from July 1 to October 22, 2026, the expected report date
Engagement	Year-end audit procedures for the shareholders, the bonding company and the lender: the subsequent events review (AU-C 560) and the going concern evaluation (AU-C 570).
Prepared from	13 files: the trial balance, the September 30 books and contract schedule, the draft notes, the minutes, management's answers, the lawyers' letter, the cash received and paid after the year end, the bank's activity, the covenants, the bank's commitment letter and the cash forecast
Prepared by	The F1 Finance Audit Machine, a demonstration. Fixed procedures on invented data; no AI model was used.
Status	Draft. Not reviewed, concluded or signed. Nothing was posted or sent to the client, its lawyers, the bank or the bonding company.

Materiality, Proposed

Contract revenue for the year, the benchmark	$68,989,500.00
Materiality: 0.5% of revenue, rounded down	$340,000.00
Performance materiality: 75%	$255,000.00
Line of credit drawn at October 21, 2026	$3,500,000.00

What the Procedures Found

Procedure	What was found	Amount
Recognized	Corliss settled below the disputed billing; the dispute existed at June 30 (SE-01)	$76,935.00
Recognized	Brindlewood's liquidated damages final after the extension was denied (SE-02)	$41,250.00
Disclosed	The draft note leaves out the events that arose later, the largest the Tideflats estimate (SE-03)	$1,196,000.00
Going concern	Without the line's renewal cash runs short in March 2027: substantial doubt before plans (GC-01)	($2,089,899.67)
Going concern	With the bank's commitment, the stressed forecast stays above the minimum	$693,165.33
Covenants	September 30 tangible net worth, adjusted, above only the commitment's relief (COV-01)	$6,217,264.00
Forecast	The forecast collects the Corliss billing in full (FC-01)	$76,935.00

Signature: none. This memo is not an audit report and expresses no opinion. The CPA reviews the workpapers, decides every open item and concludes. No adjustment has been posted.

DRAFT FOR THE CPA

Draft Findings Memo

Against Materiality

Recognized this review, SE-01 and SE-02	**$118,185.00**
June 30 tangible net worth after them	$6,879,010.07
Performance materiality	$255,000.00
Materiality	$340,000.00

What was done

The machine agreed the September 30 books to the FY2026 books, read every board meeting, management's answers and the lawyers' letter, read every receipt and payment after June 30 and the bank's activity, classified each event as recognized or disclosed and measured it from its document, compared the draft notes, computed the covenants at June 30 and September 30, and recomputed the cash forecast with and without the renewal.

Going concern, as the evidence stands

Conditions and events raised substantial doubt about the Company's ability to continue as a going concern within one year after the date the statements are available to be issued: the line of credit matures March 31, 2027 and cannot be repaid from operations. Management's plans, the bank's binding renewal commitment and the suspension of dividends, are probable of being carried out and alleviate it. The note should say so (ASC 205-40); the report needs no going concern section (AU-C 570). This is the evidence for the CPA, not a conclusion.

What the CPA decides before concluding

1. SE-01 and SE-02, and the other areas' recognized events (XREF-01). 2. The disclosures, SE-03. 3. The going concern conclusion and wording, GC-01, after confirming the covenant relief (COV-01). 4. Materiality (MAT-01), the representation letter (REP-01) and bringing the review to the report date (DATE-01).

What the machine does not do

It does not give an audit opinion, conclude on going concern, sign anything, contact the lawyers or the bank, or post an adjustment. The CPA concludes; the machine stops here.

DRAFT FOR THE CPA

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Materiality · Contract Revenue, the Benchmark

$68,989,500.00

Workbook: Planning!B15

Draft figure · the CPA reviews and concludes

Planning!B15 = $68,989,500.00

=B9

Planning!B9 = $68,989,500.00

=-('E01 Trial Balance'!D35+'E01 Trial Balance'!D36)

E01 Trial Balance!D35 = ($68,928,250.00)

E01 Trial Balance!D36 = ($61,250.00)

Source files and cells (the full formula chain is in the workbook and on the review screen):

01 Client Accounting/FY2026 trial balance.xlsx · Trial Balance!D35, Trial Balance!D36

DRAFT FOR THE CPA

Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Materiality · Materiality, Proposed

$340,000.00

Workbook: Planning!B16

Draft figure · the CPA reviews and concludes

Planning!B16 = $340,000.00

=ROUNDDOWN(B15*B29/10000,0)*10000

Planning!B15 = $68,989,500.00

=B9

Planning!B9 = $68,989,500.00

=-('E01 Trial Balance'!D35+'E01 Trial Balance'!D36)

E01 Trial Balance!D35 = ($68,928,250.00)

E01 Trial Balance!D36 = ($61,250.00)

Planning!B29 = 0.500%

Source files and cells (the full formula chain is in the workbook and on the review screen):

01 Client Accounting/FY2026 trial balance.xlsx · Trial Balance!D35, Trial Balance!D36

DRAFT FOR THE CPA

Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Materiality · Performance Materiality

$255,000.00

Workbook: Planning!B17

Draft figure · the CPA reviews and concludes

Planning!B17 = $255,000.00

=ROUND(B16*0.75,2)

Planning!B16 = $340,000.00

=ROUNDDOWN(B15*B29/10000,0)*10000

Planning!B15 = $68,989,500.00

=B9

Planning!B9 = $68,989,500.00

=-('E01 Trial Balance'!D35+'E01 Trial Balance'!D36)

E01 Trial Balance!D35 = ($68,928,250.00)

E01 Trial Balance!D36 = ($61,250.00)

Planning!B29 = 0.500%

Source files and cells (the full formula chain is in the workbook and on the review screen):

01 Client Accounting/FY2026 trial balance.xlsx · Trial Balance!D35, Trial Balance!D36

DRAFT FOR THE CPA

Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Events · CO-07 Lower Price, Revenue at June 30 (WIP-01)

$103,600.00

Workbook: Events!B8

Draft figure · the CPA reviews and concludes

Events!B8 = $103,600.00

=ROUND(B26*'E03 Jun 30 2026'!I8/'E03 Jun 30 2026'!G8,2)

Events!B26 = $370,000.00

='E05 Minutes'!B11-'E05 Minutes'!B10

E05 Minutes!B11 = $610,000.00

E05 Minutes!B10 = $240,000.00

E03 Jun 30 2026!I8 = $12,332,320.00

E03 Jun 30 2026!G8 = $44,044,000.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

02 Minutes and Letters/Board of directors minutes July to October 2026.pdf · PDF pages 1 to 4; the board of directors' meetings of July 28, August 25, September 22 and October 20, 2026, item by item

01 Client Accounting/September 30 2026 contract schedule.xlsx · Jun 30 2026!I8, Jun 30 2026!G8

DRAFT FOR THE CPA

Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Events · Kestrel Credit (AR-01)

$28,600.00

Workbook: Events!B9

Draft figure · the CPA reviews and concludes

Events!B9 = $28,600.00

=B27

Events!B27 = $28,600.00

='E05 Minutes'!B13

E05 Minutes!B13 = $28,600.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

02 Minutes and Letters/Board of directors minutes July to October 2026.pdf · PDF pages 1 to 4; the board of directors' meetings of July 28, August 25, September 22 and October 20, 2026, item by item

DRAFT FOR THE CPA

Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Events · June Interest (UL-04)

$28,665.00

Workbook: Events!B10

Draft figure · the CPA reviews and concludes

Events!B10 = $28,665.00

='E09 Payments'!E8+'E09 Payments'!E9

E09 Payments!E8 = $17,040.00

E09 Payments!E9 = $11,625.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

03 Cash After Year End/July to September 2026 payments.xlsx · Disbursements!E8, Disbursements!E9

DRAFT FOR THE CPA

Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Events · Sound Ridge June Work (UL-01)

$186,400.00

Workbook: Events!B11

Draft figure · the CPA reviews and concludes

Events!B11 = $186,400.00

=ROUND('E09 Payments'!E27/(1-Planning!B30),2)

E09 Payments!E27 = $177,080.00

Planning!B30 = 5.000%

Source files and cells (the full formula chain is in the workbook and on the review screen):

03 Cash After Year End/July to September 2026 payments.xlsx · Disbursements!E27

DRAFT FOR THE CPA

Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Events · Legal Fees, May and June (UL-02)

$23,480.00

Workbook: Events!B12

Draft figure · the CPA reviews and concludes

Events!B12 = $23,480.00

='E07 Legal Letter'!B23

E07 Legal Letter!B23 = $23,480.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

02 Minutes and Letters/Pellham and Quist response to the audit inquiry.pdf · PDF pages 1 to 3; the lawyers' reply to the audit inquiry, the Corliss settlement agreement and the fee statement

DRAFT FOR THE CPA

Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Events · Brindlewood Damages, Final (SE-02)

$41,250.00

Workbook: Events!B22

Draft figure · the CPA reviews and concludes

Events!B22 = $41,250.00

=B13

Events!B13 = $41,250.00

='E07 Legal Letter'!B15

E07 Legal Letter!B15 = $41,250.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

02 Minutes and Letters/Pellham and Quist response to the audit inquiry.pdf · PDF pages 1 to 3; the lawyers' reply to the audit inquiry, the Corliss settlement agreement and the fee statement

DRAFT FOR THE CPA

Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Events · Corliss Settlement Below the Billing (SE-01)

$76,935.00

Workbook: Events!B21

Draft figure · the CPA reviews and concludes

Events!B21 = $76,935.00

=B14

Events!B14 = $76,935.00

='E07 Legal Letter'!B20-'E07 Legal Letter'!B21

E07 Legal Letter!B20 = $186,935.00

E07 Legal Letter!B21 = $110,000.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

02 Minutes and Letters/Pellham and Quist response to the audit inquiry.pdf · PDF pages 1 to 3; the lawyers' reply to the audit inquiry, the Corliss settlement agreement and the fee statement

DRAFT FOR THE CPA

Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Events · Recognized This Review

$118,185.00

Workbook: Events!B23

Draft figure · the CPA reviews and concludes

Events!B23 = $118,185.00

=B21+B22

Events!B21 = $76,935.00

=B14

Events!B14 = $76,935.00

='E07 Legal Letter'!B20-'E07 Legal Letter'!B21

E07 Legal Letter!B20 = $186,935.00

E07 Legal Letter!B21 = $110,000.00

Events!B22 = $41,250.00

=B13

Events!B13 = $41,250.00

='E07 Legal Letter'!B15

E07 Legal Letter!B15 = $41,250.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

02 Minutes and Letters/Pellham and Quist response to the audit inquiry.pdf · PDF pages 1 to 3; the lawyers' reply to the audit inquiry, the Corliss settlement agreement and the fee statement

DRAFT FOR THE CPA

Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Events · Recognized Events Already Proposed (XREF-01)

$370,745.00

Workbook: Events!B24

Draft figure · the CPA reviews and concludes

Events!B24 = $370,745.00

=SUM(B8:B12)

Events!B8 = $103,600.00

=ROUND(B26*'E03 Jun 30 2026'!I8/'E03 Jun 30 2026'!G8,2)

Events!B26 = $370,000.00

='E05 Minutes'!B11-'E05 Minutes'!B10

E05 Minutes!B11 = $610,000.00

E05 Minutes!B10 = $240,000.00

E03 Jun 30 2026!I8 = $12,332,320.00

E03 Jun 30 2026!G8 = $44,044,000.00

Events!B9 = $28,600.00

=B27

Events!B27 = $28,600.00

='E05 Minutes'!B13

E05 Minutes!B13 = $28,600.00

Events!B10 = $28,665.00

='E09 Payments'!E8+'E09 Payments'!E9

E09 Payments!E8 = $17,040.00

E09 Payments!E9 = $11,625.00

Events!B11 = $186,400.00

=ROUND('E09 Payments'!E27/(1-Planning!B30),2)

E09 Payments!E27 = $177,080.00

Planning!B30 = 5.000%

Events!B12 = $23,480.00

='E07 Legal Letter'!B23

Source files and cells (the full formula chain is in the workbook and on the review screen):

02 Minutes and Letters/Board of directors minutes July to October 2026.pdf · PDF pages 1 to 4; the board of directors' meetings of July 28, August 25, September 22 and October 20, 2026, item by item

01 Client Accounting/September 30 2026 contract schedule.xlsx · Jun 30 2026!I8, Jun 30 2026!G8

03 Cash After Year End/July to September 2026 payments.xlsx · Disbursements!E8, Disbursements!E9, Disbursements!E27

02 Minutes and Letters/Pellham and Quist response to the audit inquiry.pdf · PDF pages 1 to 3; the lawyers' reply to the audit inquiry, the Corliss settlement agreement and the fee statement

Original documents are attached to this PDF. The workbook is attached too.

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AUDIT FINDINGS · FOLLOW THE EVIDENCE

Events · Tideflats Estimate Revision, Disclosed (SE-03)

$1,196,000.00

Workbook: Events!B15

Draft figure · the CPA reviews and concludes

Events!B15 = $1,196,000.00

='E03 Contract Schedule'!G10-'E03 Jun 30 2026'!G10

E03 Contract Schedule!G10 = $17,480,000.00

E03 Jun 30 2026!G10 = $16,284,000.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

01 Client Accounting/September 30 2026 contract schedule.xlsx · Sep 30 2026!G10, Jun 30 2026!G10

DRAFT FOR THE CPA

Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Events · Arose Later, Left Out of the Draft Note (SE-03)

$2,546,000.00

Workbook: Events!B29

Draft figure · the CPA reviews and concludes

Events!B29 = $2,546,000.00

=B15+B16+B17

Events!B15 = $1,196,000.00

='E03 Contract Schedule'!G10-'E03 Jun 30 2026'!G10

E03 Contract Schedule!G10 = $17,480,000.00

E03 Jun 30 2026!G10 = $16,284,000.00

Events!B16 = $1,200,000.00

='E10 Bank Activity'!D14

E10 Bank Activity!D14 = $1,200,000.00

Events!B17 = $150,000.00

=-'E10 Bank Activity'!D18

E10 Bank Activity!D18 = ($150,000.00)

Source files and cells (the full formula chain is in the workbook and on the review screen):

01 Client Accounting/September 30 2026 contract schedule.xlsx · Sep 30 2026!G10, Jun 30 2026!G10
03 Cash After Year End/Bank activity July 1 to October 21 2026.xlsx · Bank Activity!D14, Bank Activity!D18

DRAFT FOR THE CPA

Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Cash · Line of Credit Drawn, October 21, 2026

$3,500,000.00

Workbook: Cash After Year End!B25

Draft figure · the CPA reviews and concludes

Cash After Year End!B25 = $3,500,000.00

=B19+B24

Cash After Year End!B19 = $3,000,000.00

=B17+B18

Cash After Year End!B17 = $1,800,000.00

=-'E01 Trial Balance'!D30

E01 Trial Balance!D30 = ($1,800,000.00)

Cash After Year End!B18 = $1,200,000.00

='E10 Bank Activity'!D14

E10 Bank Activity!D14 = $1,200,000.00

Cash After Year End!B24 = $500,000.00

='E10 Bank Activity'!D22

E10 Bank Activity!D22 = $500,000.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

01 Client Accounting/FY2026 trial balance.xlsx · Trial Balance!D30

03 Cash After Year End/Bank activity July 1 to October 21 2026.xlsx · Bank Activity!D14, Bank Activity!D22

DRAFT FOR THE CPA

Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Cash · September Interest, Debited October 1

$35,350.00

Workbook: Cash After Year End!B26

Draft figure · the CPA reviews and concludes

Cash After Year End!B26 = $35,350.00

=-('E10 Bank Activity'!D19+'E10 Bank Activity'!D20)

E10 Bank Activity!D19 = ($15,975.00)

E10 Bank Activity!D20 = ($19,375.00)

Source files and cells (the full formula chain is in the workbook and on the review screen):

03 Cash After Year End/Bank activity July 1 to October 21 2026.xlsx · Bank Activity!D19, Bank Activity!D20

DRAFT FOR THE CPA

Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Cash · Dividend, September 25

$150,000.00

Workbook: Cash After Year End!B23

Draft figure · the CPA reviews and concludes

Cash After Year End!B23 = $150,000.00

=-'E10 Bank Activity'!D18

E10 Bank Activity!D18 = ($150,000.00)

Source files and cells (the full formula chain is in the workbook and on the review screen):

03 Cash After Year End/Bank activity July 1 to October 21 2026.xlsx · Bank Activity!D18

DRAFT FOR THE CPA

Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Covenants · Tangible Net Worth, June 30, 2026

$6,997,195.07

Workbook: Covenants!B12

Draft figure · the CPA reviews and concludes

Covenants!B12 = $6,997,195.07

=B8-B9-B10-B11

Covenants!B8 = $7,289,695.07

='Planning'!B11

Planning!B11 = $7,289,695.07

=-('E01 Trial Balance'!D33+'E01 Trial Balance'!D34)+B10

E01 Trial Balance!D33 = ($6,524,604.67)

E01 Trial Balance!D34 = $360,000.00

Planning!B10 = $1,125,090.40

=-('E01 Trial Balance'!D35+'E01 Trial Balance'!D36+'E01 Trial Balance'!D37+'E01 Trial Balance'!D38+'E01 Trial Balance'!D39+'E01 Trial Balance'!D40+'E01 Trial Balance'!D41+'E01 Trial Balance'!D42+'E01 Trial Balance'!D43+'E01 Trial Balance'!D44+'E01 Trial Balance'!D45+'E01 Trial Balance'!D46+'E01 Trial Balance'!D47+'E01 Trial Balance'!D48+'E01 Trial Balance'!D49)

E01 Trial Balance!D35 = ($68,928,250.00)

E01 Trial Balance!D36 = ($61,250.00)

E01 Trial Balance!D37 = $35,331,754.04

E01 Trial Balance!D38 = $8,336,748.51

E01 Trial Balance!D39 = $13,929,300.00

E01 Trial Balance!D40 = $1,806,730.00

E01 Trial Balance!D41 = $1,524,450.00

E01 Trial Balance!D42 = $1,086,390.00

E01 Trial Balance!D43 = $2,600,786.01

E01 Trial Balance!D44 = $843,095.78

E01 Trial Balance!D45 = $372,000.00

E01 Trial Balance!D46 = $697,250.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

01 Client Accounting/FY2026 trial balance.xlsx · Trial Balance!D33, Trial Balance!D34, Trial Balance!D35, Trial Balance!D36, Trial Balance!D37, Trial Balance!D38

01 Client Accounting/September 30 2026 contract schedule.xlsx · Jun 30 2026!L11, Jun 30 2026!M11

Original documents are attached to this PDF. The workbook is attached too.

DRAFT FOR THE CPA

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Covenants · Headroom, June 30, 2026

$497,195.07

Workbook: Covenants!D12

Draft figure · the CPA reviews and concludes

Covenants!D12 = $497,195.07

=B12-C12

Covenants!B12 = $6,997,195.07

=B8-B9-B10-B11

Covenants!B8 = $7,289,695.07

='Planning'!B11

Planning!B11 = $7,289,695.07

=-('E01 Trial Balance'!D33+'E01 Trial Balance'!D34)+B10

E01 Trial Balance!D33 = ($6,524,604.67)

E01 Trial Balance!D34 = $360,000.00

Planning!B10 = $1,125,090.40

=-('E01 Trial Balance'!D35+'E01 Trial Balance'!D36+'E01 Trial Balance'!D37+'E01 Trial Balance'!D38+'E01 Trial Balance'!D39+'E01 Trial Balance'!D40+'E01 Trial Balance'!D41+'E01 Trial Balance'!D42+'E01 Trial Balance'!D43+'E01 Trial Balance'!D44+'E01 Trial Balance'!D45+'E01 Trial Balance'!D46+'E01 Trial Balance'!D47+'E01 Trial Balance'!D48+'E01 Trial Balance'!D49)

E01 Trial Balance!D35 = ($68,928,250.00)

E01 Trial Balance!D36 = ($61,250.00)

E01 Trial Balance!D37 = $35,331,754.04

E01 Trial Balance!D38 = $8,336,748.51

E01 Trial Balance!D39 = $13,929,300.00

E01 Trial Balance!D40 = $1,806,730.00

E01 Trial Balance!D41 = $1,524,450.00

E01 Trial Balance!D42 = $1,086,390.00

E01 Trial Balance!D43 = $2,600,786.01

E01 Trial Balance!D44 = $843,095.78

Source files and cells (the full formula chain is in the workbook and on the review screen):

01 Client Accounting/FY2026 trial balance.xlsx · Trial Balance!D33, Trial Balance!D34, Trial Balance!D35, Trial Balance!D36, Trial Balance!D37, Trial Balance!D38

01 Client Accounting/September 30 2026 contract schedule.xlsx · Jun 30 2026!L11, Jun 30 2026!M11

04 Debt/Cinderbrook Bank loan agreement covenants.pdf · PDF page 1; section 7 financial covenants, interest terms and definitions

Original documents are attached to this PDF. The workbook is attached too.

DRAFT FOR THE CPA

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Covenants · Tangible Net Worth After SE-01 and SE-02

$6,879,010.07

Workbook: Covenants!B16

Draft figure · the CPA reviews and concludes

Covenants!B16 = $6,879,010.07

=B12-'Events'!B23

Covenants!B12 = $6,997,195.07

=B8-B9-B10-B11

Covenants!B8 = $7,289,695.07

='Planning'!B11

Planning!B11 = $7,289,695.07

=-('E01 Trial Balance'!D33+'E01 Trial Balance'!D34)+B10

E01 Trial Balance!D33 = ($6,524,604.67)

E01 Trial Balance!D34 = $360,000.00

Planning!B10 = $1,125,090.40

=-('E01 Trial Balance'!D35+'E01 Trial Balance'!D36+'E01 Trial Balance'!D37+'E01 Trial Balance'!D38+'E01 Trial Balance'!D39+'E01 Trial Balance'!D40+'E01 Trial Balance'!D41+'E01 Trial Balance'!D42+'E01 Trial Balance'!D43+'E01 Trial Balance'!D44+'E01 Trial Balance'!D45+'E01 Trial Balance'!D46+'E01 Trial Balance'!D47+'E01 Trial Balance'!D48+'E01 Trial Balance'!D49)

E01 Trial Balance!D35 = ($68,928,250.00)

E01 Trial Balance!D36 = ($61,250.00)

E01 Trial Balance!D37 = $35,331,754.04

E01 Trial Balance!D38 = $8,336,748.51

E01 Trial Balance!D39 = $13,929,300.00

E01 Trial Balance!D40 = $1,806,730.00

E01 Trial Balance!D41 = $1,524,450.00

E01 Trial Balance!D42 = $1,086,390.00

E01 Trial Balance!D43 = $2,600,786.01

E01 Trial Balance!D44 = $843,095.78

Source files and cells (the full formula chain is in the workbook and on the review screen):

01 Client Accounting/FY2026 trial balance.xlsx · Trial Balance!D33, Trial Balance!D34, Trial Balance!D35, Trial Balance!D36, Trial Balance!D37, Trial Balance!D38

01 Client Accounting/September 30 2026 contract schedule.xlsx · Jun 30 2026!L11, Jun 30 2026!M11

02 Minutes and Letters/Pellham and Quist response to the audit inquiry.pdf · PDF pages 1 to 3; the lawyers' reply to the audit inquiry, the Corliss settlement agreement and the fee statement

Original documents are attached to this PDF. The workbook is attached too.

DRAFT FOR THE CPA

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Covenants · Tangible Net Worth, September 30, Interim

$6,629,999.00

Workbook: Covenants!B22

Draft figure · the CPA reviews and concludes

Covenants!B22 = $6,629,999.00

=B18-B19-B20-B21

Covenants!B18 = $7,345,499.00

=-('E02 Interim TB'!D33+'E02 Interim TB'!D34)-('E02 Income Accounts'!D8+'E02 Income Accounts'!D9+'E02 Income Accounts'!D10+'E02 Income Accounts'!D11+'E02 Income Accounts'!D12+'E02 Income Accounts'!D13+'E02 Income Accounts'!D14+'E02 Income Accounts'!D15+'E02 Income Accounts'!D16+'E02 Income Accounts'!D17+'E02 Income Accounts'!D18+'E02 Income Accounts'!D19+'E02 Income Accounts'!D20+'E02 Income Accou

E02 Interim TB!D33 = ($7,289,695.07)

E02 Interim TB!D34 = $150,000.00

E02 Income Accounts!D8 = ($20,042,950.00)

E02 Income Accounts!D9 = ($1,653,750.00)

E02 Income Accounts!D10 = $12,185,183.67

E02 Income Accounts!D11 = $2,239,385.83

E02 Income Accounts!D12 = $4,184,250.00

E02 Income Accounts!D13 = $541,093.00

E02 Income Accounts!D14 = $436,820.00

E02 Income Accounts!D15 = $312,640.00

E02 Income Accounts!D16 = $726,137.98

E02 Income Accounts!D17 = $193,087.43

E02 Income Accounts!D18 = $96,000.00

E02 Income Accounts!D19 = $214,500.00

E02 Income Accounts!D20 = $151,842.66

E02 Income Accounts!D21 = $118,500.00

E02 Income Accounts!D22 = $91,455.50

Source files and cells (the full formula chain is in the workbook and on the review screen):

01 Client Accounting/Q3 2026 comparative trial balance.xlsx · Balance Sheet Accounts!D33, Balance Sheet Accounts!D34, Income Accounts!D8, Income Accounts!D9, Income Accounts!D10, Income Accounts!D11

01 Client Accounting/September 30 2026 contract schedule.xlsx · Sep 30 2026!L11, Sep 30 2026!M11

Original documents are attached to this PDF. The workbook is attached too.

DRAFT FOR THE CPA

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Covenants · PCO-14 Revenue, Not Signed

$259,200.00

Workbook: Covenants!B23

Draft figure · the CPA reviews and concludes

Covenants!B23 = $259,200.00

=ROUND('E03 Contract Schedule'!E9*'E03 Contract Schedule'!I9/'E03 Contract Schedule'!G9,2)

E03 Contract Schedule!E9 = $640,000.00

E03 Contract Schedule!I9 = $11,623,905.00

E03 Contract Schedule!G9 = $28,701,000.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

01 Client Accounting/September 30 2026 contract schedule.xlsx · Sep 30 2026!E9, Sep 30 2026!I9, Sep 30 2026!G9

DRAFT FOR THE CPA

Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Covenants · Tangible Net Worth, September 30, Adjusted (COV-01)

$6,217,264.00

Workbook: Covenants!B28

Draft figure · the CPA reviews and concludes

Covenants!B28 = $6,217,264.00

=B22-B23-B24-B25-B26

Covenants!B22 = $6,629,999.00

=B18-B19-B20-B21

Covenants!B18 = $7,345,499.00

=-('E02 Interim TB'!D33+'E02 Interim TB'!D34)-('E02 Income Accounts'!D8+'E02 Income Accounts'!D9+'E02 Income Accounts'!D10+'E02 Income Accounts'!D11+'E02 Income Accounts'!D12+'E02 Income Accounts'!D13+'E02 Income Accounts'!D14+'E02 Income Accounts'!D15+'E02 Income Accounts'!D16+'E02 Income Accounts'!D17+'E02 Income Accounts'!D18+'E02 Income Accounts'!D19+'E02 Income Accounts'!D20+'E02 Income Accou

E02 Interim TB!D33 = ($7,289,695.07)

E02 Interim TB!D34 = $150,000.00

E02 Income Accounts!D8 = ($20,042,950.00)

E02 Income Accounts!D9 = ($1,653,750.00)

E02 Income Accounts!D10 = $12,185,183.67

E02 Income Accounts!D11 = $2,239,385.83

E02 Income Accounts!D12 = $4,184,250.00

E02 Income Accounts!D13 = $541,093.00

E02 Income Accounts!D14 = $436,820.00

E02 Income Accounts!D15 = $312,640.00

E02 Income Accounts!D16 = $726,137.98

E02 Income Accounts!D17 = $193,087.43

E02 Income Accounts!D18 = $96,000.00

E02 Income Accounts!D19 = $214,500.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

01 Client Accounting/Q3 2026 comparative trial balance.xlsx · Balance Sheet Accounts!D33, Balance Sheet Accounts!D34, Income Accounts!D8, Income Accounts!D9, Income Accounts!D10, Income Accounts!D11

01 Client Accounting/September 30 2026 contract schedule.xlsx · Sep 30 2026!L11, Sep 30 2026!M11, Sep 30 2026!E9, Sep 30 2026!I9, Sep 30 2026!G9

03 Cash After Year End/Bank activity July 1 to October 21 2026.xlsx · Bank Activity!D19, Bank Activity!D20

Original documents are attached to this PDF. The workbook is attached too.

02 Minutes and Letters/Pellham and Quist response to the audit inquiry.pdf · PDF pages 1 to 3; the lawyers' reply to the audit inquiry, the Corliss settlement agreement and the fee statement

DRAFT FOR THE CPA

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Covenants · Above the Commitment's Relieved Minimum $217,264.00

Workbook: Covenants!B30

Draft figure · the CPA reviews and concludes

Covenants!B30 = $217,264.00

=B28-B29

Covenants!B28 = $6,217,264.00

=B22-B23-B24-B25-B26

Covenants!B22 = $6,629,999.00

=B18-B19-B20-B21

Covenants!B18 = $7,345,499.00

=-('E02 Interim TB'!D33+'E02 Interim TB'!D34)-('E02 Income Accounts'!D8+'E02 Income Accounts'!D9+'E02 Income Accounts'!D10+'E02 Income Accounts'!D11+'E02 Income Accounts'!D12+'E02 Income Accounts'!D13+'E02 Income Accounts'!D14+'E02 Income Accounts'!D15+'E02 Income Accounts'!D16+'E02 Income Accounts'!D17+'E02 Income Accounts'!D18+'E02 Income Accounts'!D19+'E02 Income Accounts'!D20+'E02 Income Accou

E02 Interim TB!D33 = ($7,289,695.07)

E02 Interim TB!D34 = $150,000.00

E02 Income Accounts!D8 = ($20,042,950.00)

E02 Income Accounts!D9 = ($1,653,750.00)

E02 Income Accounts!D10 = $12,185,183.67

E02 Income Accounts!D11 = $2,239,385.83

E02 Income Accounts!D12 = $4,184,250.00

E02 Income Accounts!D13 = $541,093.00

E02 Income Accounts!D14 = $436,820.00

E02 Income Accounts!D15 = $312,640.00

E02 Income Accounts!D16 = $726,137.98

E02 Income Accounts!D17 = $193,087.43

E02 Income Accounts!D18 = $96,000.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

01 Client Accounting/Q3 2026 comparative trial balance.xlsx · Balance Sheet Accounts!D33, Balance Sheet Accounts!D34, Income Accounts!D8, Income Accounts!D9, Income Accounts!D10, Income Accounts!D11

01 Client Accounting/September 30 2026 contract schedule.xlsx · Sep 30 2026!L11, Sep 30 2026!M11, Sep 30 2026!E9, Sep 30 2026!I9, Sep 30 2026!G9

03 Cash After Year End/Bank activity July 1 to October 21 2026.xlsx · Bank Activity!D19, Bank Activity!D20

Original documents are attached to this PDF. The workbook is attached too.

02 Minutes and Letters/Pellham and Quist response to the audit inquiry.pdf · PDF pages 1 to 3; the lawyers' reply to the audit inquiry, the Corliss settlement agreement and the fee statement

04 Debt/Cinderbrook Bank commitment letter October 16 2026.pdf · PDF page 1; Cinderbrook Bank's commitment to renew the line of credit, its covenant relief, conditions and acceptance

DRAFT FOR THE CPA

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Forecast · Lowest Cash With the Renewal

$1,410,100.33

Workbook: Forecast!B33

Draft figure · the CPA reviews and concludes

Forecast!B33 = $1,410,100.33

=MIN(B19:N19)

Forecast!B19 = $4,110,319.70

=SUM(B8:B18)

Forecast!B8 = $4,135,369.70

='E13 Assumptions'!B8

E13 Assumptions!B8 = $4,135,369.70

Forecast!B9 = $7,412,600.00

='E13 Cash Forecast'!B9

E13 Cash Forecast!B9 = $7,412,600.00

Forecast!B10 = ($6,105,300.00)

='E13 Cash Forecast'!B10

E13 Cash Forecast!B10 = ($6,105,300.00)

Forecast!B11 = ($420,000.00)

='E13 Cash Forecast'!B11

E13 Cash Forecast!B11 = ($420,000.00)

Forecast!B12 = ($1,118,400.00)

='E13 Cash Forecast'!B12

E13 Cash Forecast!B12 = ($1,118,400.00)

Forecast!B13 = ($198,600.00)

='E13 Cash Forecast'!B13

E13 Cash Forecast!B13 = ($198,600.00)

Forecast!B14 = ($60,000.00)

='E13 Cash Forecast'!B14

E13 Cash Forecast!B14 = ($60,000.00)

Source files and cells (the full formula chain is in the workbook and on the review screen):

05 Going Concern/Cash forecast October 2026 to October 2027.xlsx · Assumptions!B8, Forecast!B9, Forecast!B10, Forecast!B11, Forecast!B12, Forecast!B13

03 Cash After Year End/Bank activity July 1 to October 21 2026.xlsx · Bank Activity!D19, Bank Activity!D20

Original documents are attached to this PDF. The workbook is attached too.

DRAFT FOR THE CPA

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Forecast · Lowest Cash Without the Renewal (GC-01) ($2,089,899.67)

Workbook: Forecast!B34

Draft figure · the CPA reviews and concludes

Forecast!B34 = ($2,089,899.67)
=MIN(B27:N27)

Forecast!B27 = $4,110,319.70
='E13 Assumptions'!B8+SUM('E13 Without Renewal'!B9:B18)

E13 Assumptions!B8 = $4,135,369.70

E13 Without Renewal!B9 = $7,412,600.00

E13 Without Renewal!B10 = ($6,105,300.00)

E13 Without Renewal!B11 = ($420,000.00)

E13 Without Renewal!B12 = ($1,118,400.00)

E13 Without Renewal!B13 = ($198,600.00)

E13 Without Renewal!B14 = ($60,000.00)

E13 Without Renewal!B15 = ($35,350.00)

E13 Without Renewal!B16 = $500,000.00

E13 Without Renewal!B17 = $0.00

E13 Without Renewal!B18 = $0.00

Forecast!C27 = $3,539,982.50
=B27+SUM('E13 Without Renewal'!C9:C18)

E13 Without Renewal!C9 = $6,985,300.00

E13 Without Renewal!C10 = ($5,699,500.00)

E13 Without Renewal!C11 = ($460,000.00)

E13 Without Renewal!C12 = ($1,096,200.00)

E13 Without Renewal!C13 = ($201,300.00)

E13 Without Renewal!C14 = ($60,000.00)
Source files and cells (the full formula chain is in the workbook and on the review screen):

05 Going Concern/Cash forecast October 2026 to October 2027.xlsx · Assumptions!B8, Without Renewal!B9, Without Renewal!B10, Without Renewal!B11, Without Renewal!B12, Without Renewal!B13

Original documents are attached to this PDF. The workbook is attached too.

DRAFT FOR THE CPA

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Forecast · Lowest Cash, Corliss at the Settlement

$1,333,165.33

Workbook: Forecast!B35

Draft figure · the CPA reviews and concludes

Forecast!B35 = $1,333,165.33

=B33-B38

Forecast!B33 = $1,410,100.33

=MIN(B19:N19)

Forecast!B19 = $4,110,319.70

=SUM(B8:B18)

Forecast!B8 = $4,135,369.70

='E13 Assumptions'!B8

E13 Assumptions!B8 = $4,135,369.70

Forecast!B9 = $7,412,600.00

='E13 Cash Forecast'!B9

E13 Cash Forecast!B9 = $7,412,600.00

Forecast!B10 = ($6,105,300.00)

='E13 Cash Forecast'!B10

E13 Cash Forecast!B10 = ($6,105,300.00)

Forecast!B11 = ($420,000.00)

='E13 Cash Forecast'!B11

E13 Cash Forecast!B11 = ($420,000.00)

Forecast!B12 = ($1,118,400.00)

='E13 Cash Forecast'!B12

E13 Cash Forecast!B12 = ($1,118,400.00)

Forecast!B13 = ($198,600.00)

='E13 Cash Forecast'!B13

E13 Cash Forecast!B13 = ($198,600.00)

Forecast!B14 = ($60,000.00)

='E13 Cash Forecast'!B14

Source files and cells (the full formula chain is in the workbook and on the review screen):

05 Going Concern/Cash forecast October 2026 to October 2027.xlsx · Assumptions!B8, Forecast!B9, Forecast!B10, Forecast!B11, Forecast!B12, Forecast!B13

03 Cash After Year End/Bank activity July 1 to October 21 2026.xlsx · Bank Activity!D19, Bank Activity!D20

02 Minutes and Letters/Pellham and Quist response to the audit inquiry.pdf · PDF pages 1 to 3; the lawyers' reply to the audit inquiry, the Corliss settlement agreement and the fee statement

Original documents are attached to this PDF. The workbook is attached too.

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AUDIT FINDINGS · FOLLOW THE EVIDENCE

Forecast · Lowest Cash, Also Without PCO-14

$693,165.33

Workbook: Forecast!B36

Draft figure · the CPA reviews and concludes

Forecast!B36 = $693,165.33

=MIN(MIN(B19:E19)-B38,MIN(F19:N19)-B38-B39)

Forecast!B19 = $4,110,319.70

=SUM(B8:B18)

Forecast!B8 = $4,135,369.70

='E13 Assumptions'!B8

E13 Assumptions!B8 = $4,135,369.70

Forecast!B9 = $7,412,600.00

='E13 Cash Forecast'!B9

E13 Cash Forecast!B9 = $7,412,600.00

Forecast!B10 = ($6,105,300.00)

='E13 Cash Forecast'!B10

E13 Cash Forecast!B10 = ($6,105,300.00)

Forecast!B11 = ($420,000.00)

='E13 Cash Forecast'!B11

E13 Cash Forecast!B11 = ($420,000.00)

Forecast!B12 = ($1,118,400.00)

='E13 Cash Forecast'!B12

E13 Cash Forecast!B12 = ($1,118,400.00)

Forecast!B13 = ($198,600.00)

='E13 Cash Forecast'!B13

E13 Cash Forecast!B13 = ($198,600.00)

Forecast!B14 = ($60,000.00)

='E13 Cash Forecast'!B14

E13 Cash Forecast!B14 = ($60,000.00)

Source files and cells (the full formula chain is in the workbook and on the review screen):

05 Going Concern/Cash forecast October 2026 to October 2027.xlsx · Assumptions!B8, Forecast!B9, Forecast!B10, Forecast!B11, Forecast!B12, Forecast!B13

03 Cash After Year End/Bank activity July 1 to October 21 2026.xlsx · Bank Activity!D19, Bank Activity!D20

02 Minutes and Letters/Pellham and Quist response to the audit inquiry.pdf · PDF pages 1 to 3; the lawyers' reply to the audit inquiry, the Corliss settlement agreement and the fee statement

Original documents are attached to this PDF. The workbook is attached too.

DRAFT FOR THE CPA

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Forecast · Corliss Over-Forecast (FC-01)

$76,935.00

Workbook: Forecast!B38

Draft figure · the CPA reviews and concludes

Forecast!B38 = $76,935.00

='E13 Assumptions'!B16-'E07 Legal Letter'!B21

E13 Assumptions!B16 = $186,935.00

E07 Legal Letter!B21 = $110,000.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

05 Going Concern/Cash forecast October 2026 to October 2027.xlsx · Assumptions!B16

02 Minutes and Letters/Pellham and Quist response to the audit inquiry.pdf · PDF pages 1 to 3; the lawyers' reply to the audit inquiry, the Corliss settlement agreement and the fee statement

DRAFT FOR THE CPA

Original documents are attached to this PDF. The workbook is attached too.

WHAT STILL NEEDS A PERSON

SE-01 · $76,935.00: Corliss Medical Group settled the disputed final billing on October 8, 2026: $110,000.00 by October 30, 2026 against $186,935.00 billed. The dispute existed at June 30, so the settlement is evidence of the June 30 amount (a recognized event, AU-C 560). Proposed: reduce the receivable by $76,935.00 at June 30, against revenue or bad debt expense as the CPA decides. This settles the receivables testing's AR-03.

SE-02 · $41,250.00: Brindlewood School District denied HCS's time extension on September 15, 2026; the $41,250.00 of liquidated damages for late completion before June 30 is final. Proposed: reduce contract revenue and the retainage receivable at June 30. This settles AR-02.

SE-03 · $1,196,000.00: The draft subsequent events note gives only the October 9 advance. It must also disclose the $1,200,000.00 advance of August 14, 2026, the $150,000.00 dividend, the bank's commitment to renew the line to March 31, 2029 with its covenant relief, and the Tideflats estimate revision of $1,196,000.00 after August's events (WIP-02), and state the date through which events were evaluated, October 22, 2026 (ASC 855).

GC-01 · ($2,089,899.67): Conditions raised substantial doubt: the $3,500,000.00 line matures March 31, 2027 and, without its renewal, cash falls to ($2,089,899.67) in March 2027. The bank's binding commitment, accepted October 20, 2026, and the board's suspension of dividends alleviate it. The draft note says there were no such conditions; ASC 205-40 requires it to describe the conditions, management's evaluation and the plans. Proposed wording is in the Going Concern tab. With the doubt alleviated, AU-C 570 calls for no going concern section in the report. The CPA concludes.

COV-01 · ($282,736.00): September 30 tangible net worth is $6,629,999.00 as the interim books show it and $6,217,264.00 without PCO-14, with September interest and with SE-01 and SE-02: $282,736.00 below the loan agreement's minimum, $217,264.00 above the commitment's relieved $6,000,000.00. The CPA confirms with the bank that the relief applies before dating the report; the plans rest on it.

FC-01 · $76,935.00: The forecast collects the Corliss billing in full in October; the settlement pays $110,000.00. Corrected, the lowest month-end cash is $1,333,165.33; without PCO-14 as well, $693,165.33. Management updates the forecast.

XREF-01 · $370,745.00: Recognized events the other FY2026 areas already proposed, confirmed here by what happened after June 30: WIP-01 $103,600.00, AR-01 $28,600.00, UL-04 $28,665.00, UL-01 $186,400.00 (with its revenue effect, CROSS-01) and UL-02 $23,480.00. The CPA records them with those areas' findings.

MAT-01 · $340,000.00: Materiality is proposed at $340,000.00, 0.5% of revenue, with performance materiality $255,000.00. The engagement partner sets the final amounts.

REP-01: The representation letter must be dated as of the report date, October 22, 2026, and cover subsequent events and management's plans and their feasibility (AU-C 580 and AU-C 570).

DATE-01: This review runs to October 21, 2026. The CPA updates the inquiries, the minutes and the cash to the report date and dates the report no earlier than the evidence.

SIGN-01: These are draft workpapers and a draft findings memo for the engagement partner. They are not an audit report and give no opinion. Nothing has been signed, posted or sent.

This memo is a draft for the engagement partner. It is not an audit report and expresses no opinion; nothing has been signed, posted or sent.

DRAFT FOR THE CPA